

SOUTHWESTERN HEALTH RESOURCES

DTE EXECUTIVE SUMMARY

OPPORTUNITY REVIEW



Prepared by Derek Moore
SVP, Hospital DTE Relationships
September 29, 2025

EXECUTIVE LETTER

Dear Southwestern Health Resources Leadership Team,

On behalf of Key Benefit Administrators (KBA), I am pleased to present this proposed partnership executive summary. With almost 50 years of experience, KBA today is the nation's largest, privately-held TPA delivering a fully integrated stack of health plan management capabilities. We are proud of our track record of providing exceptional health plan management to the self-funded industry, helping health systems successfully launch, grow and manage direct-to-employer (DTE) health plans since 2016.

At KBA, we are committed to being part of the solution for systemic healthcare challenges. Our approach centers on transparent plan administration, ensuring benefits are completely free from 'shared savings,' 'spread pricing,' and other practices that divert money away from patient care. We also believe integrity and core principles are central to strong healthcare systems, which is why KBA has never participated in reference-based pricing or similar practices.

Our decade of DTE experience has taught us that having the right market partner is critical to success. We actively market and sell our partners' healthcare services, understanding that their reputation forms the foundation of health plan success. For this reason, we carefully research and vet every potential partner, often turning down health systems that lack the necessary market reputation or network access.

Southwestern Health Resources (SWHR) stands apart as one of the very best positioned health systems in the country to support its own private-labeled DTE health plan. KBA would be honored to partner with SWHR and is confident in the plan's success. We look forward to discussing how our partnership can deliver exceptional value to the employers in DFW and their employees you serve.

Sincerely,

Derek Moore

SVP, Hospital DTE Relationships
Key Benefit Administrators

WHY KBA?

KEY BENEFIT



- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
 - 3,000+ Corporate Clients
 - 3 Million Members under Management
 - 500+ Employees



MARKET
LEADER
IN
PRIVATE
LABELED
DTE PLANS

CUTTING OUT THE MIDDLEMAN

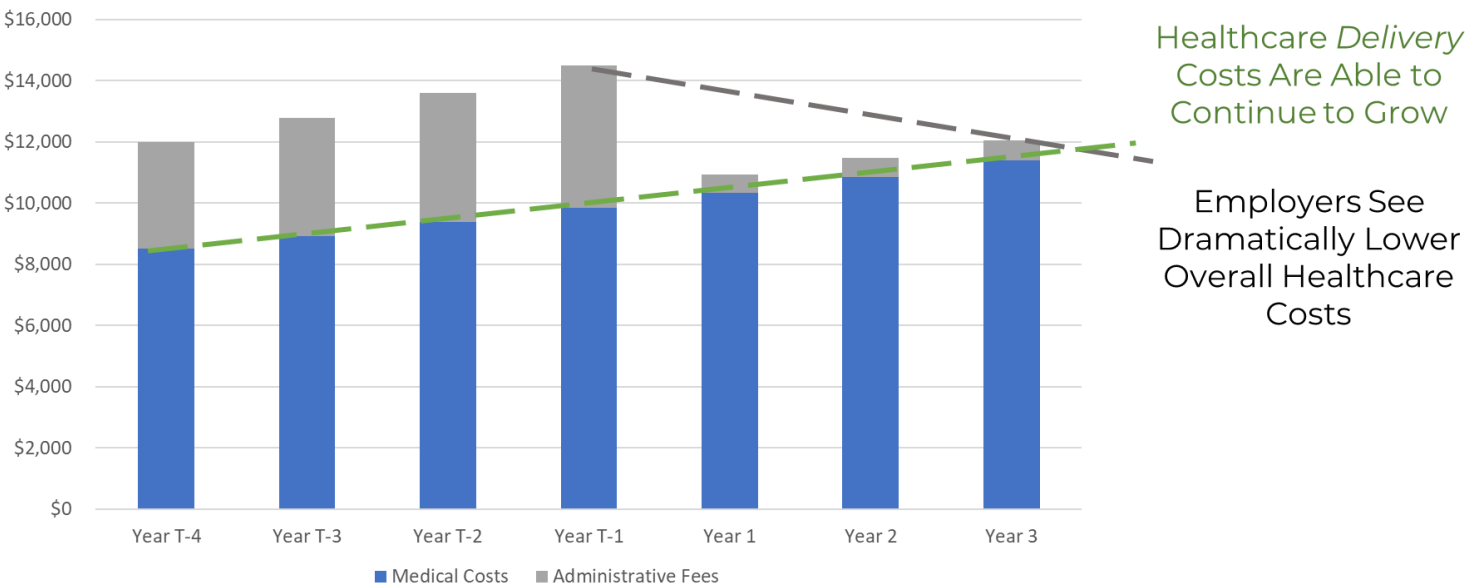
PUTTING A NAME TO THE PROBLEM

CHANNEL DEPENDENCY RISK



Healthcare’s middlemen, insurance companies, were initially a (Texas) healthcare innovation to ensure healthcare reimbursement.

Today, healthcare payers often abuse their position in ways that cause adverse health events and higher costs.



KBA enables direct to employer networks, helping healthcare providers **retake** a critical go-to-market channel and **regain** control over their current and future care delivery.

OUR 'WHY': THE PHOTO MOMENT

THE KBA REWARD THROUGH SEEING A DIFFERENCE



Better Care, Lower Costs, Real Partnerships

- All Stakeholders at the Table (Employer, Provider, KBA, Broker/Consultant)
- Reviewing Real Progress (Improved Population Health and Lower Spend)
- Deep Loyalty Between Employer and Provider Organization Built on Value

The **RED LINE** =
The year over year healthcare
component of the consumer price index

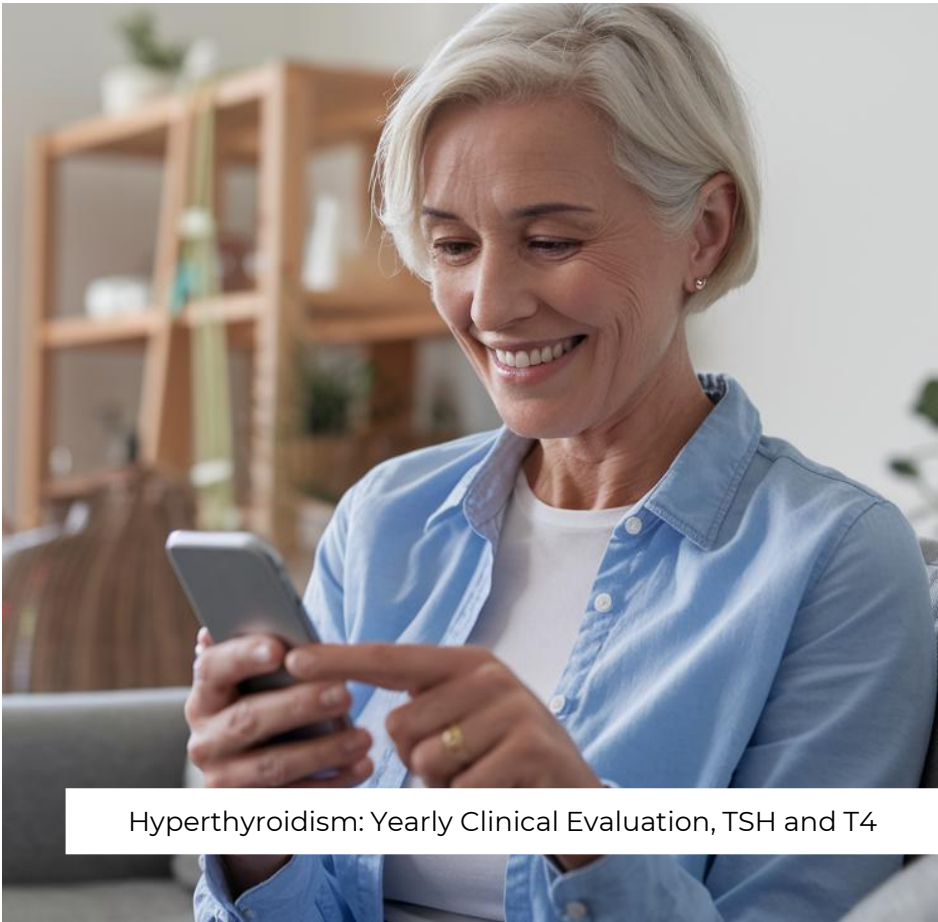
The **BLUE LINE** = What happens when you
manage your health on Main Street



For our clients, 98% of our
Blue Lines are BELOW their
Red Lines!

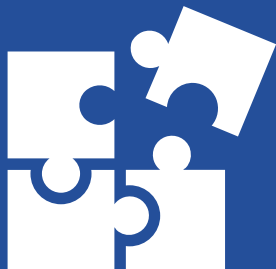


KBA shares
evidence-based
standards of care for
28 chronic conditions
directly into Epic



Hyperthyroidism: Yearly Clinical Evaluation, TSH and T4

THE MISSING
PIECE TO
VALUE-BASED
CARE



- Patient engagement is the weak link in delivering value-based care; SWHR’s clinical leadership and employer participation can drive better outcomes.
- KBA’s proactive care-management team supplements your care-management efforts in outreach to plan members.
- SWHR excels in Standards of Care completion rates for the Chronically Ill, improving care and costs.
- Integrating SWHR’s managed care expertise with KBA’s population health management programs positions SWHR as the value leader.



Full-Service Network Management



Network Analysis and Modeling

- ✓ Analysis of member access in each sub-geography and for different care journeys
- ✓ Evaluations of quality, efficiency and cost effectiveness of providers within the network
- ✓ Presentation of pricing and network completeness to funding partners and employer groups



Contracting and Engagement

- ✓ Full-service network management services to expand network access through contracting with independent providers
- ✓ Strong collaboration and frequent engagement with SWHR to ensure network is optimized with SWHR's consent
- ✓ Management of contract negotiations with non-SWHR groups



Operational Success

- ✓ Delegated credentialling to SWHR
- ✓ Management of provider demographic data and fee schedules
- ✓ Accurate and timely provider payments

COMMUNITY BASED SALES STRATEGY

COMPLETE MARKETING SYSTEM

- Customized Branding and Messaging
- Customized Brochures
- Customized Web Site
- Targeted Employer Outreach
- Sales System (Social Media, Email, Text, etc.)



Locally based sales rep with strong community ties



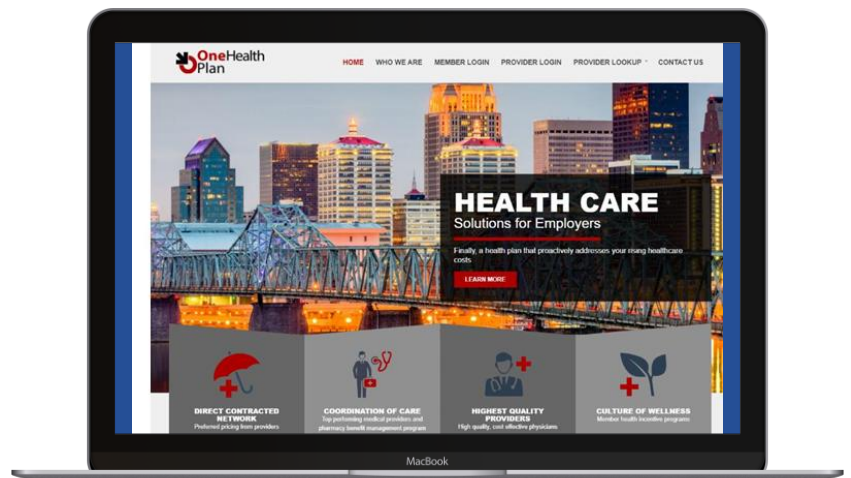
Market research and insights to identify strategic employers for early adoption and sales



Work with select broker distribution partners with aligned incentives and goals



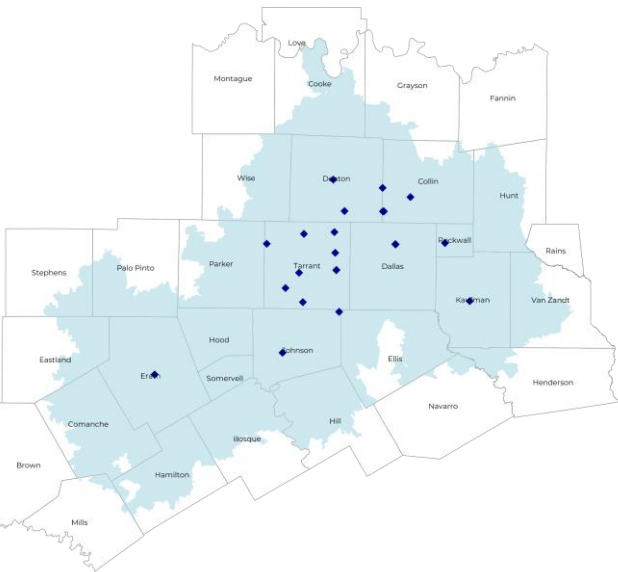
Pipeline reporting and collaboration with our DTE provider partners



YOU Deliver Exceptional Care
YOU Control the Plan
WE Successfully Grow and Administer

180 DAY SALES PLAN

12,000+ TARGET LOCAL EMPLOYERS



	Employer Size Group (# of Employees)					
	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
Commercial Employers With Headquarters In Catchment Area	6,061	2,761	1,835	1,021	369	302
Total Employees at Employers Headquartered in Catchment Area	454,600	414,200	550,500	714,700	738,000	1,812,000
Total Members with Employers Headquartered in Catchment Area	818,300	745,600	990,900	1,286,500	1,328,400	3,261,600

180 DAY SALES TARGETS AND PLAN

Team in place
(2 local sales leaders)

Operations Running
Reporting, Check-ins Etc.

📍 Day 1-30

- 👤 Introduce SVP and VP of Sales to provider management team
- 👤 Engage recruiter and local contacts to hire 2 local salespeople
- 📅 Coordinate meeting with provider marketing and public relations teams
- 🔍 Research and do local reconnaissance of the broker community. Determine top broker candidates to help sell the health plan

👤 Day 30-60

- 👤 Begin interview process for 2 local salespeople
- 👤 Engage key brokers and begin to have meetings to explain the health plan value proposition
- 📋 Begin to outline target list of employers
- 📋 Begin to outline joint marketing and PR plan
- 📋 Engage PR firm

👤 Day 61-90

- 👤 Hire 2 local salespeople
- 📅 Enroll salespeople in KBA training program (4 weeks)
- 📋 Refine employer target list
- 📋 Construct digital sales campaign and cadence for digital engagement direct to employers

📈 Day 91-120

- 📍 Salespeople are in local community
- 👤 Continue broker outreach and engagement
- 📅 Begin to execute joint marketing plan (provider and health plan)
- 📋 Determine date, place and invite list for broker and employer seminar(s)
- 📋 Construct digital and paper invitations for seminar(s)
- 📋 Start digital sales campaign

📈 Day 121-150

- 📋 Begin to execute PR plan
- 📋 Outline co-marketing initiative
- 📋 Distribute seminar(s) invitations
- 📋 Hold DTE seminar(s)
- 📋 Lead follow up from seminar(s) and digital sales campaign

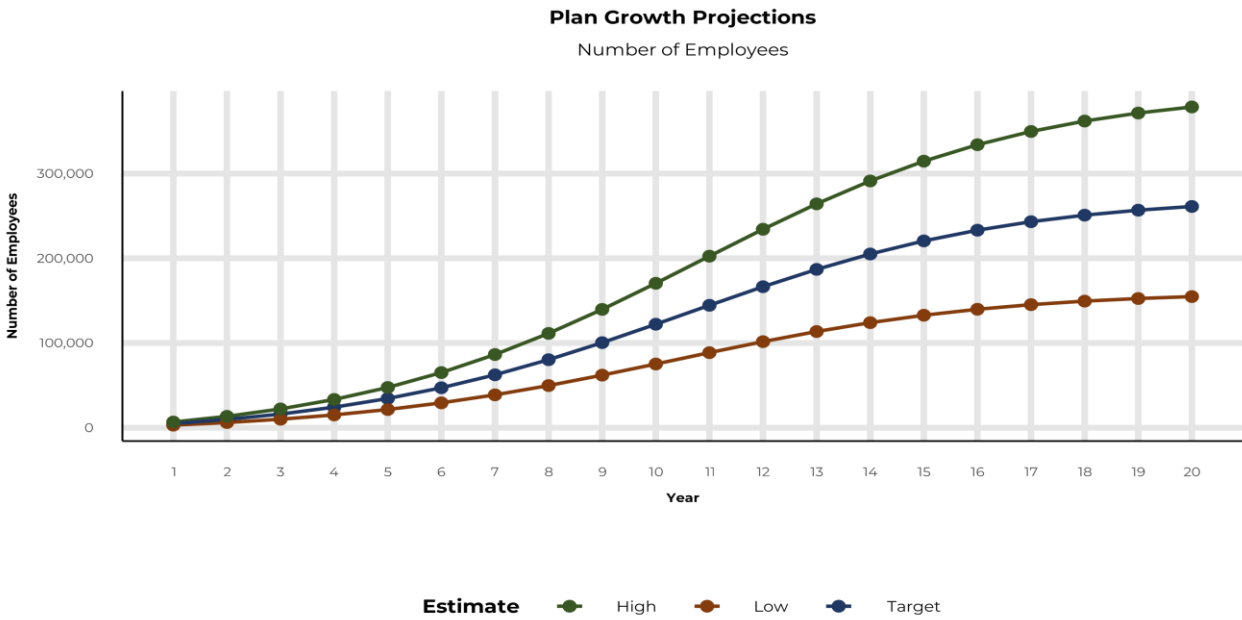
🏆 Day 151-180

- 📋 Start second tier sales campaign
- 📋 Set date, time and cadence with provider leadership for pipeline review
- 📋 Begin to conduct agency (broker) value proposition training

PREMIUM HEALTHCARE BRANDS

Health System	HCAHPS Recommendation Percentile	CMS Stars Percentile	Mortality Percentile	Readmission Percentile	KBA Brand Quality Score
University of Texas System	94	100	63	57	75
Methodist Health System	69	62	66	66	70
Baylor Scott & White Health	72	86	69	67	70
Texas Health Resources	64	73	70	75	67
Parkland Health	55	31	64	62	64
HCA Healthcare	45	57	86	57	60
John Peter Smith Hospital	33	61	52	65	57
Other Independent Hospitals	30	45	60	57	56
Prime Healthcare Services	11	87	69	58	47
Heights Healthcare of Texas	4	10	59	60	45

GENERATE PREMIUM PLAN GROWTH



PROJECTED GROWTH DETAILS

D G R O W

Year	Employees	Members	Percent of Members Choosing SWHR for Inpatient Care	Percent of Members Choosing SWHR for Outpatient Care
1	4,900	8,800	70%	60%
2	9,800	17,600	70%	60%
3	16,100	29,000	75%	65%
4	24,200	43,600	77%	68%
5	34,500	62,100	77%	69%
6	47,200	85,000	77%	70%
7	62,500	112,500	78%	71%
8	80,300	144,500	78%	71%
9	100,400	180,700	78%	72%
10	122,200	220,000	79%	72%
11	144,500	260,100	79%	73%
12	166,500	299,700	79%	73%
13	186,900	336,400	80%	74%
14	205,100	369,200	80%	74%
15	220,500	396,900	80%	75%
16	233,200	419,800	80%	75%
17	243,200	437,800	81%	76%
18	250,900	451,600	81%	76%
19	256,800	462,200	81%	76%
20	261,200	470,200	81%	76%

Target Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	8,800	17,600	29,000	43,600
Network Access Fee	161.7K	547.6K	957.2K	1,744.0K
GLP-1 Script Revenue*	72.8K	246.4K	430.7K	784.8K
Implementation Fee (One-Time)	-225.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-380.0K	-380.0K	-380.0K	-380.0K
SWHR Net Cash Flow	-370.5K	414K	1,008K	2,148.8
SWHR Partners Incremental Margin	15.8M	31.6M	57M	89.6M

*Assuming 40% of population is obese and 50% of those utilize GLP-1 reduced-cost scripts

COSTS AND PROFITABILITY

Plan Set-Up Fees

Plan and network creation, registration, marketing, sales, branding and launch.

Total Network Launch Cost	480K
SWHR Launch Costs	\$225K (9% Reduction)
KBA Launch Costs	255K

SWHR launch costs cover the employer marketing campaign, the stop-loss relationship campaign, and employer communication campaigns.

KBA's yearly investment covers three full-time implementation specialists, a PMI-certified project manager, expanded leadership support, claims administration programming, training and auditing, legal and regulatory compliance review, and provider network creation and management..

Yearly Sales Fees

Two dedicated sales leaders and ongoing sales/marketing support.

Total Yearly Sales, Marketing and Administration Costs	620K
SWHR Yearly Investment	\$380K (21% Reduction)
KBA Yearly Investment	240K

SWHR's sales and marketing costs cover sales team salaries and benefits.

KBA's yearly investment covers sales leadership, marketing, broker and partner communications, website management, promotions, network management, patient convenience cards, Key Incentive Plan administration, EHR integration, promotional materials, and administrative reporting.

POSITIVE ROI <24 MONTHS AFTER LAUNCH

	SWHR Investment*	Total Employees	Network Access Fee	GLP-1 Revenue	SWHR Revenue	Cumulative Costs/Revenue
Year T-1 Q2	(225K)					(225K)
Year 1 Q1	(95K)					(320K)
Year 1 Q2	(95K)	1450	26K	12K	38K	(377K)
Year 1 Q3	(95K)	2950	53K	24K	77K	(395K)
Year 1 Q4	(95K)	4450	80K	36K	116K	(374K)
Year 2 Q1	(95K)	5730	103K	46K	150K	(320K)
Year 2 Q2	(95K)	6975	126K	56K	182K	(233K)
Year 2 Q3	(95K)	8220	148K	67K	215K	(113K)
Year 2 Q4	(95K)	9465	171K	77K	248K	40K
Year 3 Q1	(95K)	11000	198K	89K	287K	232K
Year 3 Q2	(95K)	12530	226K	101K	327K	464K
Year 3 Q3	(95K)	14060	253K	114K	367K	736K
Year 3 Q4	(95K)	15590	281K	126K	407K	1,048K

*Sales and marketing fees are paid monthly (31.67K per month).

REVENUE TO HEALTH SYSTEM PARTNERS

Early Stage

Gaining Name Recognition, Early Growth

New Revenue: **\$181.21M**
New Profit: **\$47.05M**

Growth Stage

Strong Reputation, Strong Growth

New Revenue: **\$1049.77M**
New Profit: **\$274.68M**

Mature Stage

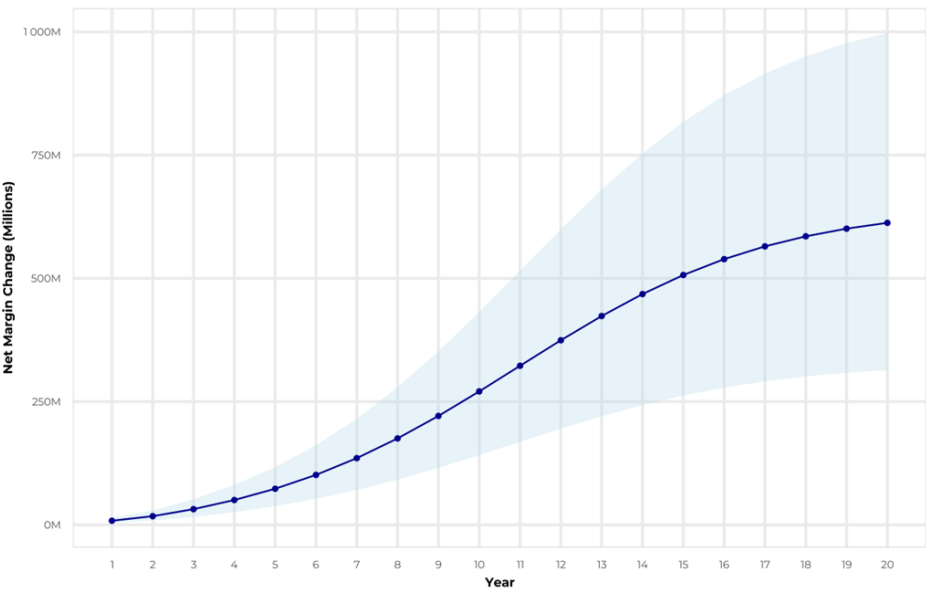
High Profitability, Market Saturation

New Revenue: **\$2117.2M**
New Profit: **\$553.94M**

Net Margin Change Over Years

Variation by Member Growth With Target Estimate Assuming

50%+ Within-Plan Steerage and a Commercial Margin of 28%



YEAR 4 MODELED PARTNER BENEFITS

Pre-DTE Cohort of 43,600 Members	Inpatient	Outpatient	Professional	Total
Revenue†	\$ 26,975,483	\$ 23,078,595	\$ 10,777,508	\$ 60,831,586
Net Income‡	\$ 6,905,724	\$ 5,908,120	\$ 2,759,042	\$ 15,572,886

With DTE	Inpatient	Outpatient	Professional	Total
Revenue°	\$ 121,563,337	\$ 195,885,195	\$ 91,476,721	\$ 408,925,253
Net Income*	\$ 31,120,214	\$ 50,146,610	\$ 23,418,041	\$ 104,684,865

† Assuming proportional revenues from market shares of 17% (inpatient) and 8% (outpatient)

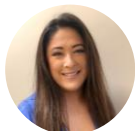
‡ Conservatively assuming a commercial margin of 25.6% (80% of the estimated commercial margin)

° Assuming 77% inpatient and 68% market steerage based on KBA DTE network experience

* Conservatively assuming a commercial margin of **25.6%**, we apply a **10 percentage-point reduction** to reflect competitive-edge rates and an offsetting **10 percentage-point increase** to account for lower billing costs and substantially **higher patient self-pay** collections resulting from the **Key Incentive Plan Benefits** and **member convenience card**.

Total Increase in Net Income	\$ 89,111,979
Network Access Fee (Revenue) of \$6 PEPM	\$ 1,744,000
Total Profit Growth	\$ 89,127,979
GLP-1	\$784,800
Minus Sales and Marketing	-\$ 380,000
Total	\$ 91,260,779

IMPLEMENTATION TEAM AND TIMELINE



Director, Implementation and Network

I joined Key Benefit Administrators in 2000 and have been in the Health Insurance Industry for 20+ years. My focus has been Leadership in Operations, Carrier and Provider Network Relations and Implementation Management.

Office: (803) 323-7974 | Email: Christine.Vinesett@keybenefit.com

Christine Vinesett



Network Operations Lead

Julie Caskey joined Key Benefit Administrators (KBA) in 2021. Julie brings an extensive background with 30+ years in the Health Insurance Industry. Julie's focus has been in Provider Network and Relationship Management.

Office: 317-712-4003 | Email: Julie.Caskey@keybenefit.com

Julie Caskey



DTE Implementation and Relationship Coordinator

Deja joined Key Benefit Administrators in 2023 and has been in the Health Insurance Industry for 10 years. Deja's focus has been in Provider Network and Relationship Management.

Office: 803-396-4836 | Email: Dejanetta.Pettaway@keybenefit.com

Dejanetta (Deja)
Pettaway

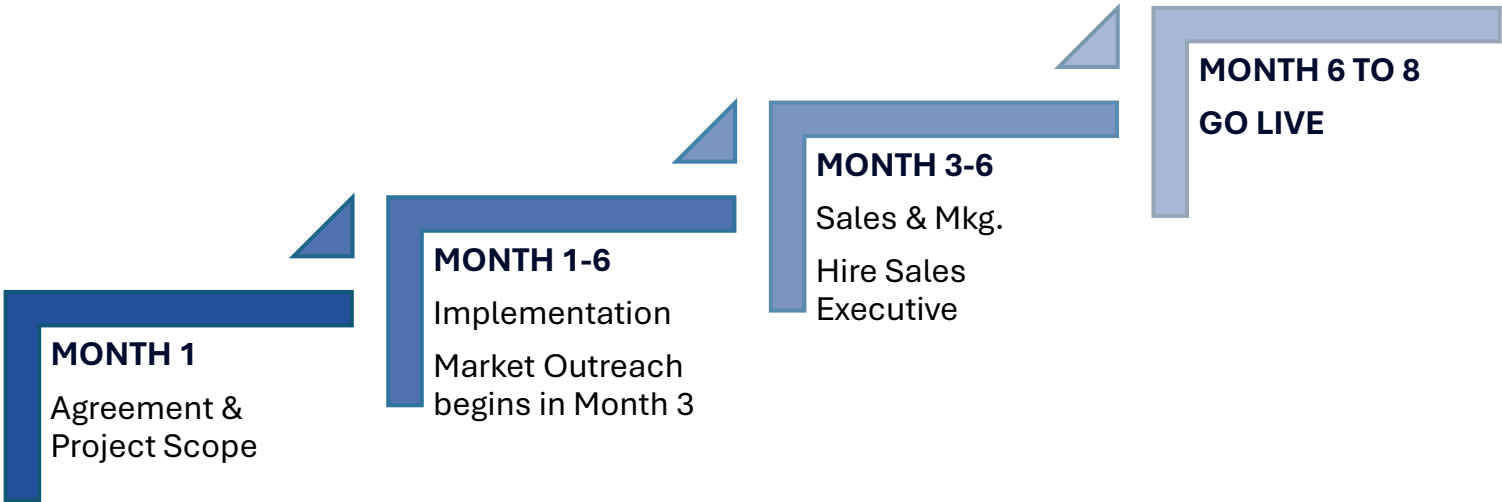


DTE Implementation and Relationship Coordinator

Darlene Grindstaff joined Key Benefit Administrators in 2014 and has been in the Health Insurance Industry for 11 years. Darlene's focus has been in Implementation, Provider Network, and Relationship Management.

Office: 803-396-4784 | Email: Darlene.Grindstaff@keybenefit.com

Darlene Grindstaff



KBA TOTAL QUALITY METRICS

300+

TOTAL QUALITY MEASURES

50,000+

UNIQUE AUDITS ANNUALLY

\$200M+

PREMIUM & CLAIMS REVIEWED ANNUALLY

New Business / Renewals

New Case Accuracy	2023 KBA 99.86%	2024 KBA 100.00% ↑	INDUSTRY N/A	GOAL 99.75%
Renewal Case Accuracy	2023 KBA 99.96%	2024 KBA 100.00% ↑	INDUSTRY N/A	GOAL 99.75%
Fulfillment Materials Audit	2023 KBA 99.99%	2024 KBA 99.98% ↓	INDUSTRY N/A	GOAL 100%

Enrollment Center

Soft Skills Audit	2023 KBA 99.43%	2024 KBA 99.22% ↓	INDUSTRY N/A	GOAL 98.00%
Procedural Skills Audit	2023 KBA 98.26%	2024 KBA 98.23% ↓	INDUSTRY N/A	GOAL 97.00%

Billing & Eligibility Quality

Eligibility Accuracy	2023 KBA 100.00%	2024 KBA 100.00%	INDUSTRY N/A	GOAL 99.75%
Plans/Rates/Coverage Audits	2023 KBA 100.00%	2024 KBA 100.00%	INDUSTRY N/A	GOAL 99.75%
Cash Receipts Logging	2023 KBA 99.97%	2024 KBA 99.78% ↓	INDUSTRY N/A	GOAL 98.00%
Cash Posting Accuracy	2023 KBA 99.96%	2024 KBA 99.78% ↓	INDUSTRY N/A	GOAL 97.00%

Claims Quality

Turn Around Time (Days)	2023 KBA 3.79	2024 KBA 6 ↓	INDUSTRY 10	GOAL 7
% Paid within 10 Bus Days	2023 KBA 88.90%	2024 KBA 87.34% ↓	INDUSTRY 80.00%	GOAL 85.00%
Financial Accuracy	2023 KBA 99.30%	2024 KBA 99.44% ↑	INDUSTRY 99.00%	GOAL 99.00%
Procedural Accuracy	2023 KBA 99.00%	2024 KBA 99.16% ↑	INDUSTRY N/A	GOAL 95.00%
% of Claims Audited	2023 KBA 3.77%	2024 KBA 3.80% ↑	INDUSTRY 1%	GOAL 3%

Customer Experience Quality

Average Speed to Answer	2023 KBA 22 sec	2024 KBA 44 sec ↓	INDUSTRY <45s	GOAL <30s
% Answered w/in 45 Sec	2023 KBA 84.90%	2024 KBA 75.00% ↓	INDUSTRY 80-60%	GOAL 80-30%
Soft Skills Audit	2023 KBA 99.50%	2024 KBA 99.54% ↑	INDUSTRY N/A	GOAL 98.00%
Procedural Audit	2023 KBA 99.22%	2024 KBA 99.10% ↓	INDUSTRY N/A	GOAL 97.00%
Email Correspondence Audit	2023 KBA 100.00%	2024 KBA 100.00%	INDUSTRY N/A	GOAL 98.00%
Web Chat Corresp. Audit	2023 KBA 99.64%	2024 KBA 99.50% ↓	INDUSTRY N/A	GOAL 98.00%
Abandonment Rate	2023 KBA 1.00%	2024 KBA 1.78% ↓	INDUSTRY <5%	GOAL <1%

With more than 45 years of delivery excellence, KBA is the best-positioned partner in the market to support rapid-scale growth



Dedicated Large Case Implementation Teams – Specialized onboarding staff with deep expertise in high-volume, high-complexity group transitions.

Specialized EDI Team – Dedicated experts who streamline vendor and data partner integrations, ensuring rapid, accurate, and secure connectivity.

Compliance & Security at Scale – HIPAA-compliant systems to maintain quality and regulatory standards under high volume.

High-Performance Claims Processing – Automation and dedicated processing workflows to handle surges in claims volume without delays.

Proven Capable – Experience implementing and administering plans for groups exceeding 20,000 members, including complex multi-state and multi-product arrangements.

Flexible Infrastructure – Cloud-based platforms that scale processing capacity, data storage, and integrations without disruption.

Configurable and Flexible Plan Designs – Ability to tailor benefits, eligibility rules, and network arrangements for diverse employee populations.

Rapid Direct-to-Employer Network Builds – Ability to design and launch custom networks and branded solutions within 90–120 days.

Data Integration Expertise – Proven ability to ingest, map, and validate large, complex datasets from multiple sources.



YOUR PARTNER TO REVOLUTIONIZE DALLAS FORT-WORTH HEALTHCARE

